

▶ Masterclass Day 18

The Power of Dividend Investing

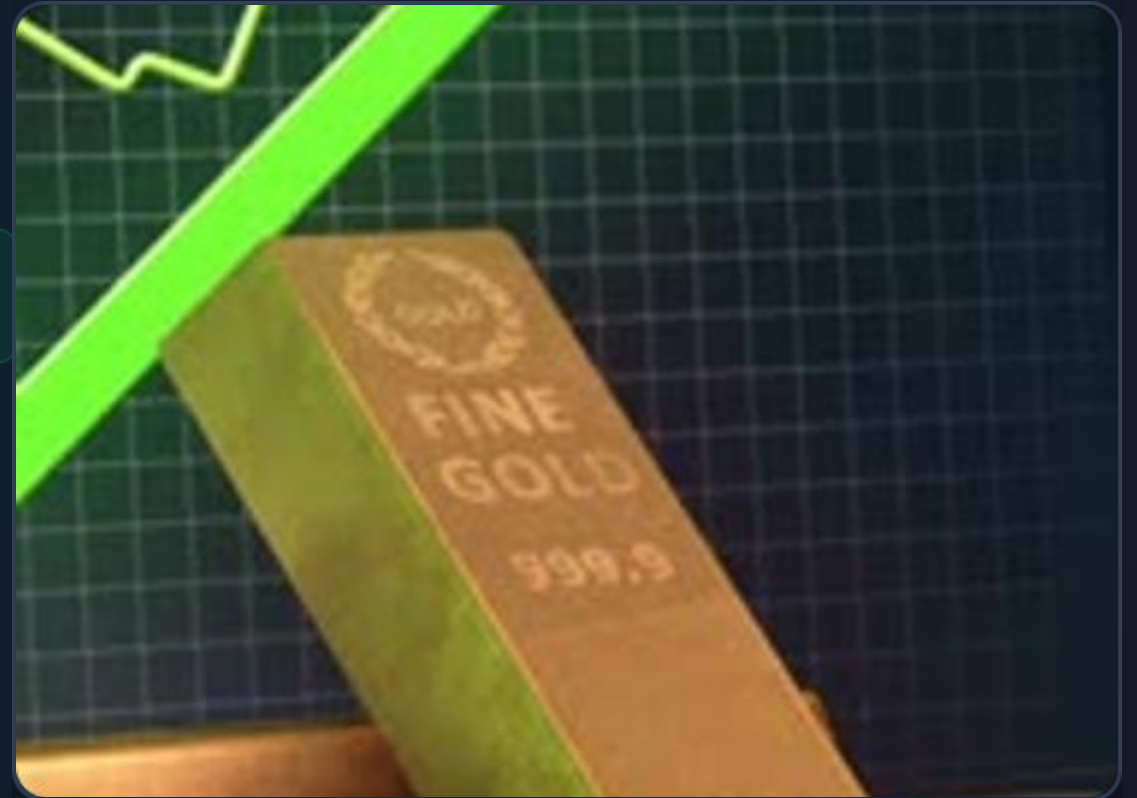
Getting paid while you sleep: Building reliable passive income streams through cash-flowing assets.

Measuring Cash Flow: Dividend Yield

Dividend Yield is a financial ratio that tells you how much a company pays out in dividends each year relative to its stock price.

$$\text{Dividend Yield} = \frac{\text{Annual Dividend per Share}}{\text{Current Share Price}} \times 100$$

- » **The Benchmark:** A healthy yield typically ranges between 2% to 6%.
- » **Warning Sign:** Extremely high yields (> 10%) can be a "dividend trap" signaling financial distress or a plunging stock price.



The Sustainability Check:

Dividend Payout Ratio

Not all profits are handed back to shareholders. The **Dividend Payout Ratio** reveals what percentage of a company's net income is distributed as dividends.

$$\text{Payout Ratio} = \frac{\text{Total Dividends Paid}}{\text{Net Income}} \times 100$$

Reinvestment vs Payout: Mature utility or banking firms pay out 50-70%. Rapid growth tech companies pay 0%, plowing cash back into R&D.



The Ultimate Goal: **Passive Income**



Financial Freedom Through Cash Flow

Dividend investing isn't just about quick capital gains; it's about building a machine that generates cash regardless of market direction.

- » **Dividend Reinvestment (DRIP):** Automatically using your dividend payouts to purchase more shares, accelerating compound growth exponentially.
- » **The Snowball Effect:** Over decades, dividend checks grow large enough to cover your living expenses entirely.

Great Job on Day 18!

Tomorrow: Day 19 -Mutual Funds.

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